IB Economics - Topic 3.4: Teacher and AI Grading Guide

Economics of Inequality and Poverty | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. 42 questions cover SL/HL content and 8 are labelled HL. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Equality/equity, Lorenz/Gini, absolute/relative and multidimensional poverty, causes and consequences, taxes and other redistributive policies. Lorenz construction and specified tax calculations are HL only.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for underlying explanations and terminology. Its older syllabus sequence does not set the limits of this current Topic 3.4.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Equity inequality: 5 pairs

Lorenz Gini: 5 pairs

Poverty measures: 7 pairs

Causes: 8 pairs

Consequences: 5 pairs

Taxation: 6 pairs

Policy: 6 pairs

HL Lorenz: 4 pairs

HL tax: 4 pairs

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

Require diagrams when expressly requested and accept an economically equivalent correctly labelled representation. Verify axes, initial and final equilibria and the stated causal shift. In numerical questions, verify method, units and interpretation; allow correct alternative calculations. Do not award a correct final number after an invalid method without examining the work.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 3.4: Equity inequality

(a) [10] Explain the difference between economic equality and equity.

(b) [15] Using real-world examples, discuss whether equal incomes would necessarily create an equitable society.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income is a flow and wealth a stock; equality describes distribution, while equity is a normative judgment about fairness.

Required reasoning. Equality describes sameness of outcomes; equity concerns fairness, which may depend on needs and opportunities.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes equity inequality from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Equality describes sameness of outcomes; equity concerns fairness, which may depend on needs and opportunities.

Counterargument and conditions. Equity is a normative judgment and equal numbers need not mean equal opportunities or needs.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 3.4: Equity inequality

(a) [10] Explain why a household can have high income but low wealth.

(b) [15] Using real-world examples, evaluate whether income statistics alone reveal economic inequality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income is a flow and wealth a stock; equality describes distribution, while equity is a normative judgment about fairness.

Required reasoning. Income is a flow whereas wealth is a stock of net assets; high earnings need not imply past accumulation.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes equity inequality from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Income is a flow whereas wealth is a stock of net assets; high earnings need not imply past accumulation.

Counterargument and conditions. Equity is a normative judgment and equal numbers need not mean equal opportunities or needs.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 3.4: Equity inequality

(a) [10] Explain why two households with similar wealth can receive different market incomes.

(b) [15] Using real-world examples, discuss whether wealth inequality and income inequality measure the same thing.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income is a flow and wealth a stock; equality describes distribution, while equity is a normative judgment about fairness.

Required reasoning. Different assets yield different returns and workers receive different factor incomes.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes equity inequality from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Different assets yield different returns and workers receive different factor incomes.

Counterargument and conditions. Equity is a normative judgment and equal numbers need not mean equal opportunities or needs.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 3.4: Equity inequality

(a) [10] Explain how unequal ownership of productive resources can create income inequality.

(b) [15] Using real-world examples, evaluate whether unequal resource ownership is the only cause of income inequality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income is a flow and wealth a stock; equality describes distribution, while equity is a normative judgment about fairness.

Required reasoning. Capital, land and enterprise yield unequal income, alongside wages, taxes and transfers.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes equity inequality from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Capital, land and enterprise yield unequal income, alongside wages, taxes and transfers.

Counterargument and conditions. Equity is a normative judgment and equal numbers need not mean equal opportunities or needs.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 3.4: Equity inequality

(a) [10] Explain why unequal opportunity can persist even if legal access to education is equal.

(b) [15] Using real-world examples, discuss whether formal equality of opportunity is sufficient to reduce poverty.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income is a flow and wealth a stock; equality describes distribution, while equity is a normative judgment about fairness.

Required reasoning. Costs, quality and family resources influence actual access and eventual earnings.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes equity inequality from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Costs, quality and family resources influence actual access and eventual earnings.

Counterargument and conditions. Equity is a normative judgment and equal numbers need not mean equal opportunities or needs.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 3.4: Lorenz Gini

(a) [10] Using a Lorenz curve, explain how income distribution is compared with perfect equality.

(b) [15] Using real-world examples, evaluate whether a Lorenz curve is sufficient to judge the fairness of an economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. The Lorenz curve plots cumulative income shares against cumulative population shares; Gini summarises the area separating it from equality.

Required reasoning. Greater distance from the 45-degree line shows more inequality; normative fairness also requires context.

Expected diagram or calculation. Cumulative income share vertically and cumulative population share horizontally, both 0 to 100%; draw the 45-degree equality line. For quintile data, plot population 0,20,40,60,80,100 against cumulative income shares computed from the question, join points smoothly and explain which curve is farther from equality. Do not require numerical Gini calculation.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes lorenz gini from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Greater distance from the 45-degree line shows more inequality; normative fairness also requires context.

Counterargument and conditions. Gini summarises relative income shares and reveals neither absolute poverty nor the full curve shape.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 3.4: Lorenz Gini

(a) [10] Using Lorenz curves, explain how a distribution becoming more equal would be shown.

(b) [15] Using real-world examples, discuss whether a lower Gini coefficient always means poverty has fallen.

Part (a) - Indicative answer and marking guidance

Essential concepts. The Lorenz curve plots cumulative income shares against cumulative population shares; Gini summarises the area separating it from equality.

Required reasoning. The curve moves toward equality and Gini falls, but absolute incomes can fall too.

Expected diagram or calculation. Cumulative income share vertically and cumulative population share horizontally, both 0 to 100%; draw the 45-degree equality line. For quintile data, plot population 0,20,40,60,80,100 against cumulative income shares computed from the question, join points smoothly and explain which curve is farther from equality. Do not require numerical Gini calculation.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes lorenz gini from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. The curve moves toward equality and Gini falls, but absolute incomes can fall too.

Counterargument and conditions. Gini summarises relative income shares and reveals neither absolute poverty nor the full curve shape.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 3.4: Lorenz Gini

(a) [10] Explain what a Gini coefficient measures and how it relates to a Lorenz curve.

(b) [15] Using real-world examples, evaluate whether a single Gini value captures every aspect of inequality.

Part (a) - Indicative answer and marking guidance

Essential concepts. The Lorenz curve plots cumulative income shares against cumulative population shares; Gini summarises the area separating it from equality.

Required reasoning. Gini summarises area between equality line and Lorenz curve, but can hide distribution shapes.

Expected diagram or calculation. Cumulative income share vertically and cumulative population share horizontally, both 0 to 100%; draw the 45-degree equality line. For quintile data, plot population 0,20,40,60,80,100 against cumulative income shares computed from the question, join points smoothly and explain which curve is farther from equality. Do not require numerical Gini calculation.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes lorenz gini from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Gini summarises area between equality line and Lorenz curve, but can hide distribution shapes.

Counterargument and conditions. Gini summarises relative income shares and reveals neither absolute poverty nor the full curve shape.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 3.4: Lorenz Gini

(a) [10] Explain why identical Gini coefficients may conceal different income distributions.

(b) [15] Using real-world examples, discuss whether Gini rankings should determine redistributive policy.

Part (a) - Indicative answer and marking guidance

Essential concepts. The Lorenz curve plots cumulative income shares against cumulative population shares; Gini summarises the area separating it from equality.

Required reasoning. Different Lorenz shapes can yield the same area, hiding where disparities occur.

Expected diagram or calculation. Plot cumulative population share on the horizontal axis and cumulative income share vertically; include equality line and correctly cumulative data points. A conceptual Gini discussion is distinct from a numerical Gini calculation.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes lorenz gini from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Different Lorenz shapes can yield the same area, hiding where disparities occur.

Counterargument and conditions. Gini summarises relative income shares and reveals neither absolute poverty nor the full curve shape.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 3.4: Lorenz Gini

(a) [10] Explain why an income Lorenz curve should not automatically be interpreted as a wealth Lorenz curve.

(b) [15] Using real-world examples, evaluate whether income equality implies wealth equality.

Part (a) - Indicative answer and marking guidance

Essential concepts. The Lorenz curve plots cumulative income shares against cumulative population shares; Gini summarises the area separating it from equality.

Required reasoning. They describe different variables with distinct degrees of concentration.

Expected diagram or calculation. Cumulative income share vertically and cumulative population share horizontally, both 0 to 100%; draw the 45-degree equality line. For quintile data, plot population 0,20,40,60,80,100 against cumulative income shares computed from the question, join points smoothly and explain which curve is farther from equality. Do not require numerical Gini calculation.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes lorenz gini from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. They describe different variables with distinct degrees of concentration.

Counterargument and conditions. Gini summarises relative income shares and reveals neither absolute poverty nor the full curve shape.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 3.4: Poverty measures

(a) [10] Explain the difference between absolute and relative poverty.

(b) [15] Using real-world examples, discuss whether falling absolute poverty necessarily reduces relative poverty.

Part (a) - Indicative answer and marking guidance

Essential concepts. Absolute, relative and multidimensional poverty refer to different thresholds and deprivations; survey methods limit comparison.

Required reasoning. Absolute poverty concerns a minimum threshold, while relative poverty depends on income compared with others.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes poverty measures from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Absolute poverty concerns a minimum threshold, while relative poverty depends on income compared with others.

Counterargument and conditions. Threshold choice, PPP conversion, informal income and service access change measured deprivation.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 3.4: Poverty measures

(a) [10] Explain how an international poverty line can be used to measure poverty.

(b) [15] Using real-world examples, evaluate whether one international threshold captures every country's deprivation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Absolute, relative and multidimensional poverty refer to different thresholds and deprivations; survey methods limit comparison.

Required reasoning. Count people below a PPP-adjusted line, but needs and local services differ.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes poverty measures from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Count people below a PPP-adjusted line, but needs and local services differ.

Counterargument and conditions. Threshold choice, PPP conversion, informal income and service access change measured deprivation.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 3.4: Poverty measures

(a) [10] Explain how a minimum income standard differs from an international poverty line.

(b) [15] Using real-world examples, discuss whether a locally defined threshold is more useful than a global one.

Part (a) - Indicative answer and marking guidance

Essential concepts. Absolute, relative and multidimensional poverty refer to different thresholds and deprivations; survey methods limit comparison.

Required reasoning. Local standards reflect context, while global lines aid broad comparisons.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes poverty measures from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Local standards reflect context, while global lines aid broad comparisons.

Counterargument and conditions. Threshold choice, PPP conversion, informal income and service access change measured deprivation.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 3.4: Poverty measures

(a) [10] Explain why a multidimensional poverty index can identify deprivation missed by income measures.

(b) [15] Using real-world examples, evaluate whether a composite poverty measure is always more informative than income poverty.

Part (a) - Indicative answer and marking guidance

Essential concepts. Absolute, relative and multidimensional poverty refer to different thresholds and deprivations; survey methods limit comparison.

Required reasoning. Health, education and living conditions reveal multiple deprivations, but weighting choices matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes poverty measures from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Health, education and living conditions reveal multiple deprivations, but weighting choices matter.

Counterargument and conditions. Threshold choice, PPP conversion, informal income and service access change measured deprivation.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 3.4: Poverty measures

(a) [10] Explain how a country's poverty rate can change when the poverty threshold changes.

(b) [15] Using real-world examples, discuss whether differences in measured poverty always reflect real changes in living standards.

Part (a) - Indicative answer and marking guidance

Essential concepts. Absolute, relative and multidimensional poverty refer to different thresholds and deprivations; survey methods limit comparison.

Required reasoning. A higher cutoff can classify more people as poor even if incomes do not change.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes poverty measures from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A higher cutoff can classify more people as poor even if incomes do not change.

Counterargument and conditions. Threshold choice, PPP conversion, informal income and service access change measured deprivation.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 3.4: Poverty measures

(a) [10] Explain two difficulties in comparing poverty across countries.

(b) [15] Using real-world examples, evaluate whether poverty rankings are reliable when data quality differs.

Part (a) - Indicative answer and marking guidance

Essential concepts. Absolute, relative and multidimensional poverty refer to different thresholds and deprivations; survey methods limit comparison.

Required reasoning. Price-level conversion, household surveys and access to public services alter comparability.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes poverty measures from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Price-level conversion, household surveys and access to public services alter comparability.

Counterargument and conditions. Threshold choice, PPP conversion, informal income and service access change measured deprivation.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 3.4: Poverty measures

(a) [10] Explain why informal incomes can affect measured poverty.

(b) [15] Using real-world examples, discuss whether survey-based poverty figures capture all household resources.

Part (a) - Indicative answer and marking guidance

Essential concepts. Absolute, relative and multidimensional poverty refer to different thresholds and deprivations; survey methods limit comparison.

Required reasoning. Unrecorded work or in-kind income may be omitted, with direction of bias dependent on survey design.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes poverty measures from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Unrecorded work or in-kind income may be omitted, with direction of bias dependent on survey design.

Counterargument and conditions. Threshold choice, PPP conversion, informal income and service access change measured deprivation.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 3.4: Causes

(a) [10] Explain how differences in human capital can contribute to income inequality.

(b) [15] Using real-world examples, evaluate whether education alone can eliminate income gaps.

Part (a) - Indicative answer and marking guidance

Essential concepts. Resources, human capital, discrimination, power, tax rules, globalisation and technology affect distribution.

Required reasoning. Skills affect wages, but discrimination, asset ownership and labour demand remain.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes causes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Skills affect wages, but discrimination, asset ownership and labour demand remain.

Counterargument and conditions. Several causes overlap; a correlation between inequality and a proposed driver is not itself causal proof.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 3.4: Causes

(a) [10] Explain how discrimination in labour markets can contribute to poverty.

(b) [15] Using real-world examples, discuss whether equal qualifications guarantee equal earnings.

Part (a) - Indicative answer and marking guidance

Essential concepts. Resources, human capital, discrimination, power, tax rules, globalisation and technology affect distribution.

Required reasoning. Unequal hiring and pay reduce opportunities for equally productive workers.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes causes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Unequal hiring and pay reduce opportunities for equally productive workers.

Counterargument and conditions. Several causes overlap; a correlation between inequality and a proposed driver is not itself causal proof.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 3.4: Causes

(a) [10] Explain how inherited wealth can influence future income inequality.

(b) [15] Using real-world examples, evaluate whether taxation can fully offset differences in inherited advantage.

Part (a) - Indicative answer and marking guidance

Essential concepts. Resources, human capital, discrimination, power, tax rules, globalisation and technology affect distribution.

Required reasoning. Assets produce returns and support education or enterprise; policy coverage and avoidance limit equalisation.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes causes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Assets produce returns and support education or enterprise; policy coverage and avoidance limit equalisation.

Counterargument and conditions. Several causes overlap; a correlation between inequality and a proposed driver is not itself causal proof.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 3.4: Causes

(a) [10] Explain how technological change may raise the earnings of some workers relative to others.

(b) [15] Using real-world examples, discuss whether technological progress necessarily increases inequality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Resources, human capital, discrimination, power, tax rules, globalisation and technology affect distribution.

Required reasoning. Skill-biased demand can raise wage gaps, though diffusion and training may spread gains.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes causes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Skill-biased demand can raise wage gaps, though diffusion and training may spread gains.

Counterargument and conditions. Several causes overlap; a correlation between inequality and a proposed driver is not itself causal proof.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 3.4: Causes

(a) [10] Explain how globalisation can alter the demand for different kinds of labour.

(b) [15] Using real-world examples, evaluate whether trade integration always widens domestic income gaps.

Part (a) - Indicative answer and marking guidance

Essential concepts. Resources, human capital, discrimination, power, tax rules, globalisation and technology affect distribution.

Required reasoning. Trade changes sectoral labour demand and prices; outcomes depend on skills and institutions.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes causes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Trade changes sectoral labour demand and prices; outcomes depend on skills and institutions.

Counterargument and conditions. Several causes overlap; a correlation between inequality and a proposed driver is not itself causal proof.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 3.4: Causes

(a) [10] Explain how tax and benefit policies can alter disposable income inequality.

(b) [15] Using real-world examples, discuss whether market-income inequality predicts after-tax inequality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Resources, human capital, discrimination, power, tax rules, globalisation and technology affect distribution.

Required reasoning. Progressive taxes and transfers alter post-policy income distribution.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes causes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Progressive taxes and transfers alter post-policy income distribution.

Counterargument and conditions. Several causes overlap; a correlation between inequality and a proposed driver is not itself causal proof.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 3.4: Causes

(a) [10] Explain why unequal status and bargaining power can affect wage incomes.

(b) [15] Using real-world examples, evaluate whether labour markets reward productivity alone.

Part (a) - Indicative answer and marking guidance

Essential concepts. Resources, human capital, discrimination, power, tax rules, globalisation and technology affect distribution.

Required reasoning. Bargaining power can influence wage shares alongside productivity and employer demand.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes causes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Bargaining power can influence wage shares alongside productivity and employer demand.

Counterargument and conditions. Several causes overlap; a correlation between inequality and a proposed driver is not itself causal proof.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 3.4: Causes

(a) [10] Explain how market-based supply-side reforms can affect the income distribution.

(b) [15] Using real-world examples, discuss whether greater labour-market flexibility must worsen inequality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Resources, human capital, discrimination, power, tax rules, globalisation and technology affect distribution.

Required reasoning. Lower protection may widen pay dispersion while employment opportunities may improve.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes causes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower protection may widen pay dispersion while employment opportunities may improve.

Counterargument and conditions. Several causes overlap; a correlation between inequality and a proposed driver is not itself causal proof.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 3.4: Consequences

(a) [10] Explain how poverty can limit human capital accumulation and growth.

(b) [15] Using real-world examples, evaluate whether inequality necessarily slows economic growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inequality can alter growth, living standards and social stability, with conditional effects.

Required reasoning. Poor households may underinvest in skills, while incentives and investment effects can offset or complicate the relationship.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Poor households may underinvest in skills, while incentives and investment effects can offset or complicate the relationship.

Counterargument and conditions. Distribution may affect investment and stability differently across institutions and initial conditions.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 3.4: Consequences

(a) [10] Explain how wealth inequality may affect access to business finance.

(b) [15] Using real-world examples, discuss whether unequal wealth always prevents entrepreneurship.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inequality can alter growth, living standards and social stability, with conditional effects.

Required reasoning. Collateral affects credit access, though external finance or support may soften constraints.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Collateral affects credit access, though external finance or support may soften constraints.

Counterargument and conditions. Distribution may affect investment and stability differently across institutions and initial conditions.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 3.4: Consequences

(a) [10] Explain why income inequality can affect social stability.

(b) [15] Using real-world examples, evaluate whether inequality alone explains social unrest.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inequality can alter growth, living standards and social stability, with conditional effects.

Required reasoning. Perceived unfairness may erode trust, alongside political and historical causes.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Perceived unfairness may erode trust, alongside political and historical causes.

Counterargument and conditions. Distribution may affect investment and stability differently across institutions and initial conditions.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 3.4: Consequences

(a) [10] Explain how inequality can affect average and typical standards of living differently.

(b) [15] Using real-world examples, discuss whether growth in average income implies higher living standards for poorer households.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inequality can alter growth, living standards and social stability, with conditional effects.

Required reasoning. The mean can rise as lower incomes stagnate; inspect distribution and basic services.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. The mean can rise as lower incomes stagnate; inspect distribution and basic services.

Counterargument and conditions. Distribution may affect investment and stability differently across institutions and initial conditions.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 3.4: Consequences

(a) [10] Explain how unequal access to health care can reinforce income inequality.

(b) [15] Using real-world examples, evaluate whether rising GDP is sufficient to break a poverty cycle.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inequality can alter growth, living standards and social stability, with conditional effects.

Required reasoning. Ill health limits earning and learning, requiring attention to access and service quality.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Ill health limits earning and learning, requiring attention to access and service quality.

Counterargument and conditions. Distribution may affect investment and stability differently across institutions and initial conditions.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | SL/HL | 25 marks

Topic 3.4: Taxation

(a) [10] Explain how a progressive income tax can reduce after-tax income inequality.

(b) [15] Using real-world examples, evaluate whether higher top tax rates always reduce inequality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Progressive, proportional and regressive refer to average tax burden as income rises; average and marginal rates differ.

Required reasoning. Average tax rate rises with income; behavioural responses and enforcement influence redistribution.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes taxation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Average tax rate rises with income; behavioural responses and enforcement influence redistribution.

Counterargument and conditions. Avoidance, effective incidence and public use of proceeds shape the final distribution.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | SL/HL | 25 marks

Topic 3.4: Taxation

(a) [10] Explain the difference between progressive, proportional and regressive taxation.

(b) [15] Using real-world examples, discuss whether an indirect tax necessarily places a greater burden on poorer households.

Part (a) - Indicative answer and marking guidance

Essential concepts. Progressive, proportional and regressive refer to average tax burden as income rises; average and marginal rates differ.

Required reasoning. Classify by average rate relative to income, rather than by the nominal statutory rate alone.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes taxation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Classify by average rate relative to income, rather than by the nominal statutory rate alone.

Counterargument and conditions. Avoidance, effective incidence and public use of proceeds shape the final distribution.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | SL/HL | 25 marks

Topic 3.4: Taxation

(a) [10] Explain the distinction between average and marginal income-tax rates.

(b) [15] Using real-world examples, evaluate whether a higher marginal rate means a worker's entire income is taxed at that rate.

Part (a) - Indicative answer and marking guidance

Essential concepts. Progressive, proportional and regressive refer to average tax burden as income rises; average and marginal rates differ.

Required reasoning. Average equals total tax divided by income; marginal applies to an additional unit.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes taxation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Average equals total tax divided by income; marginal applies to an additional unit.

Counterargument and conditions. Avoidance, effective incidence and public use of proceeds shape the final distribution.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | SL/HL | 25 marks

Topic 3.4: Taxation

(a) [10] Explain how a tax on wealth can affect wealth inequality.

(b) [15] Using real-world examples, discuss whether taxing high-value assets always improves equity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Progressive, proportional and regressive refer to average tax burden as income rises; average and marginal rates differ.

Required reasoning. A levy can reduce concentrated net assets or fund services, depending on valuation and avoidance.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes taxation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A levy can reduce concentrated net assets or fund services, depending on valuation and avoidance.

Counterargument and conditions. Avoidance, effective incidence and public use of proceeds shape the final distribution.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | SL/HL | 25 marks

Topic 3.4: Taxation

(a) [10] Explain why a broad consumption tax may be regressive relative to income.

(b) [15] Using real-world examples, evaluate whether exemptions can make indirect taxation more equitable.

Part (a) - Indicative answer and marking guidance

Essential concepts. Progressive, proportional and regressive refer to average tax burden as income rises; average and marginal rates differ.

Required reasoning. Lower-income households spend a larger income share; exempting necessities changes incidence.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes taxation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower-income households spend a larger income share; exempting necessities changes incidence.

Counterargument and conditions. Avoidance, effective incidence and public use of proceeds shape the final distribution.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | SL/HL | 25 marks

Topic 3.4: Taxation

(a) [10] Explain how personal income taxes and transfer payments can work together to reduce poverty.

(b) [15] Using real-world examples, discuss whether redistribution is sufficient to tackle the causes of poverty.

Part (a) - Indicative answer and marking guidance

Essential concepts. Progressive, proportional and regressive refer to average tax burden as income rises; average and marginal rates differ.

Required reasoning. Taxes fund transfers that raise disposable income; persistent barriers may remain.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes taxation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Taxes fund transfers that raise disposable income; persistent barriers may remain.

Counterargument and conditions. Avoidance, effective incidence and public use of proceeds shape the final distribution.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | SL/HL | 25 marks

Topic 3.4: Policy

(a) [10] Explain how targeted spending on education may reduce inequality of opportunity.

(b) [15] Using real-world examples, evaluate whether targeted education is preferable to universal provision.

Part (a) - Indicative answer and marking guidance

Essential concepts. Transfers, human-capital investment, targeted services, UBI, anti-discrimination and minimum wages address different dimensions of poverty.

Required reasoning. Access and quality may improve for disadvantaged groups, but targeting errors and stigma can matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Access and quality may improve for disadvantaged groups, but targeting errors and stigma can matter.

Counterargument and conditions. Targeting error, financing, behavioural changes and service quality can limit the benefit.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | SL/HL | 25 marks

Topic 3.4: Policy

(a) [10] Explain how transfer payments can reduce absolute poverty.

(b) [15] Using real-world examples, discuss whether cash transfers always improve long-term economic mobility.

Part (a) - Indicative answer and marking guidance

Essential concepts. Transfers, human-capital investment, targeted services, UBI, anti-discrimination and minimum wages address different dimensions of poverty.

Required reasoning. Transfers raise current resources but lasting progress depends on employment and human capital.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Transfers raise current resources but lasting progress depends on employment and human capital.

Counterargument and conditions. Targeting error, financing, behavioural changes and service quality can limit the benefit.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | SL/HL | 25 marks

Topic 3.4: Policy

(a) [10] Explain how a universal basic income differs from means-tested transfers.

(b) [15] Using real-world examples, evaluate whether universal basic income is an efficient way to reduce poverty.

Part (a) - Indicative answer and marking guidance

Essential concepts. Transfers, human-capital investment, targeted services, UBI, anti-discrimination and minimum wages address different dimensions of poverty.

Required reasoning. UBI is unconditional and broad; cost, tax financing and exclusion errors differ from targeting.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. UBI is unconditional and broad; cost, tax financing and exclusion errors differ from targeting.

Counterargument and conditions. Targeting error, financing, behavioural changes and service quality can limit the benefit.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | SL/HL | 25 marks

Topic 3.4: Policy

(a) [10] Explain why a minimum wage might reduce in-work poverty.

(b) [15] Using real-world examples, discuss whether a higher minimum wage always lowers the poverty rate.

Part (a) - Indicative answer and marking guidance

Essential concepts. Transfers, human-capital investment, targeted services, UBI, anti-discrimination and minimum wages address different dimensions of poverty.

Required reasoning. Higher pay benefits covered workers; hours, employment and household circumstances affect poverty outcomes.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher pay benefits covered workers; hours, employment and household circumstances affect poverty outcomes.

Counterargument and conditions. Targeting error, financing, behavioural changes and service quality can limit the benefit.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | SL/HL | 25 marks

Topic 3.4: Policy

(a) [10] Explain how anti-discrimination measures may affect income inequality.

(b) [15] Using real-world examples, evaluate whether legal protection alone can ensure equal economic opportunity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Transfers, human-capital investment, targeted services, UBI, anti-discrimination and minimum wages address different dimensions of poverty.

Required reasoning. Enforcement can reduce unequal hiring and pay; training and structural barriers may remain.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Enforcement can reduce unequal hiring and pay; training and structural barriers may remain.

Counterargument and conditions. Targeting error, financing, behavioural changes and service quality can limit the benefit.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | SL/HL | 25 marks

Topic 3.4: Policy

(a) [10] Explain why expanding access to health care can help reduce poverty.

(b) [15] Using real-world examples, discuss whether spending on health care is more effective than direct cash support.

Part (a) - Indicative answer and marking guidance

Essential concepts. Transfers, human-capital investment, targeted services, UBI, anti-discrimination and minimum wages address different dimensions of poverty.

Required reasoning. Health improves work capacity and lowers catastrophic expenses, but takes time and must be accessible.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Health improves work capacity and lowers catastrophic expenses, but takes time and must be accessible.

Counterargument and conditions. Targeting error, financing, behavioural changes and service quality can limit the benefit.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | HL | 25 marks

Topic 3.4: HL Lorenz

(a) [10] Given income shares by quintile of 5%, 10%, 15%, 25% and 45%, construct a Lorenz curve and explain its axes.

(b) [15] Using real-world examples, evaluate whether the resulting Lorenz curve is sufficient to assess poverty.

Part (a) - Indicative answer and marking guidance

Essential concepts. Construct Lorenz points using cumulative quintile income shares at cumulative population shares of 0,20,40,60,80,100.

Required reasoning. Plot cumulative population 0,20,40,60,80,100 against cumulative income 0,5,15,30,55,100; poverty needs absolute income data.

Expected diagram or calculation. Cumulative income share vertically and cumulative population share horizontally, both 0 to 100%; draw the 45-degree equality line. For quintile data, plot population 0,20,40,60,80,100 against cumulative income shares computed from the question, join points smoothly and explain which curve is farther from equality. Do not require numerical Gini calculation.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl lorenz from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Plot cumulative population 0,20,40,60,80,100 against cumulative income 0,5,15,30,55,100; poverty needs absolute income data.

Counterargument and conditions. A curve closer to equality need not mean that absolute incomes or poverty improved.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | HL | 25 marks

Topic 3.4: HL Lorenz

(a) [10] Given income shares by quintile of 10%, 15%, 20%, 25% and 30%, construct a Lorenz curve and explain its relationship to the equality line.

(b) [15] Using real-world examples, discuss whether a more equal income distribution necessarily represents greater equity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Construct Lorenz points using cumulative quintile income shares at cumulative population shares of 0,20,40,60,80,100.

Required reasoning. Cumulative income shares 0,10,25,45,70,100 at population 0,20,40,60,80,100; fairness depends on needs and circumstances.

Expected diagram or calculation. Cumulative income share vertically and cumulative population share horizontally, both 0 to 100%; draw the 45-degree equality line. For quintile data, plot population 0,20,40,60,80,100 against cumulative income shares computed from the question, join points smoothly and explain which curve is farther from equality. Do not require numerical Gini calculation.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl lorenz from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Cumulative income shares 0,10,25,45,70,100 at population 0,20,40,60,80,100; fairness depends on needs and circumstances.

Counterargument and conditions. A curve closer to equality need not mean that absolute incomes or poverty improved.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | HL | 25 marks

Topic 3.4: HL Lorenz

(a) [10] Given two sets of quintile shares, A: 5,10,15,25,45 and B: 8,12,18,24,38, construct both Lorenz curves and explain which distribution is more equal.

(b) [15] Using real-world examples, evaluate whether the country represented by B must have lower poverty.

Part (a) - Indicative answer and marking guidance

Essential concepts. Construct Lorenz points using cumulative quintile income shares at cumulative population shares of 0,20,40,60,80,100.

Required reasoning. Cumulative A: 0,5,15,30,55,100; B: 0,8,20,38,62,100; B is more equal, but poverty depends on income levels.

Expected diagram or calculation. Cumulative income share vertically and cumulative population share horizontally, both 0 to 100%; draw the 45-degree equality line. For quintile data, plot population 0,20,40,60,80,100 against cumulative income shares computed from the question, join points smoothly and explain which curve is farther from equality. Do not require numerical Gini calculation.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl lorenz from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Cumulative A: 0,5,15,30,55,100; B: 0,8,20,38,62,100; B is more equal, but poverty depends on income levels.

Counterargument and conditions. A curve closer to equality need not mean that absolute incomes or poverty improved.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | HL | 25 marks

Topic 3.4: HL tax

(a) [10] A household spends 2,000 on taxable goods subject to a 10% tax on the pre-tax price; calculate tax paid and explain how its burden relative to income can vary.

(b) [15] Using real-world examples, evaluate whether equal consumption-tax rates imply equal burdens relative to income.

Part (a) - Indicative answer and marking guidance

Essential concepts. Apply provided rates to pre-tax expenditure and calculate total tax and average rates accurately.

Required reasoning. Tax paid=200; burden as income share varies with income and spending composition.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl tax from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Tax paid=200; burden as income share varies with income and spending composition.

Counterargument and conditions. Regressivity requires comparing tax burden relative to income across households.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | HL | 25 marks

Topic 3.4: HL tax

(a) [10] Given incomes of 20,000 and 80,000 and tax payments of 2,000 and 16,000, calculate both average tax rates and explain the tax schedule's progressivity.

(b) [15] Using real-world examples, discuss whether this tax schedule will necessarily eliminate income inequality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Apply provided rates to pre-tax expenditure and calculate total tax and average rates accurately.

Required reasoning. Average rates are 10% and 20%; after-tax incomes still differ markedly.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl tax from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Average rates are 10% and 20%; after-tax incomes still differ markedly.

Counterargument and conditions. Regressivity requires comparing tax burden relative to income across households.

Application and real-world example. The World Bank describes Brazil's Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | HL | 25 marks

Topic 3.4: HL tax

(a) [10] A person earns 50,000 and pays 7,500 in total tax; after a 1,000 raise, total tax becomes 7,800. Calculate the average initial and marginal rates.

(b) [15] Using real-world examples, evaluate whether a 30% marginal rate necessarily discourages additional work.

Part (a) - Indicative answer and marking guidance

Essential concepts. Apply provided rates to pre-tax expenditure and calculate total tax and average rates accurately.

Required reasoning. Average initial rate=15%; marginal rate=300/1000=30%; response depends on preferences and alternatives.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl tax from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Average initial rate=15%; marginal rate=300/1000=30%; response depends on preferences and alternatives.

Counterargument and conditions. Regressivity requires comparing tax burden relative to income across households.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | HL | 25 marks

Topic 3.4: HL Lorenz

(a) [10] Given bottom four quintiles receiving 4%, 9%, 16% and 27% of income, calculate the top quintile share, show cumulative Lorenz points and explain why the points cannot lie above equality.

(b) [15] Using real-world examples, discuss whether a concentrated top share always implies rising poverty.

Part (a) - Indicative answer and marking guidance

Essential concepts. Construct Lorenz points using cumulative quintile income shares at cumulative population shares of 0,20,40,60,80,100.

Required reasoning. Top share=44%; cumulative income 0,4,13,29,56,100 at 20-point population intervals; absolute income matters.

Expected diagram or calculation. Plot cumulative population share on the horizontal axis and cumulative income share vertically; include equality line and correctly cumulative data points. A conceptual Gini discussion is distinct from a numerical Gini calculation.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl lorenz from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Top share=44%; cumulative income 0,4,13,29,56,100 at 20-point population intervals; absolute income matters.

Counterargument and conditions. A curve closer to equality need not mean that absolute incomes or poverty improved.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | HL | 25 marks

Topic 3.4: HL tax

(a) [10] A low-income household earns 15,000 and spends 12,000 on goods taxed at 5% of pre-tax prices; calculate tax and its share of income, then explain the relevance to regressivity.

(b) [15] Using real-world examples, evaluate whether such an indirect tax must be regressive in its overall effect.

Part (a) - Indicative answer and marking guidance

Essential concepts. Apply provided rates to pre-tax expenditure and calculate total tax and average rates accurately.

Required reasoning. Tax=600 and 4% of income; distributional effect depends on higher-income spending and use of revenue.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl tax from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Tax=600 and 4% of income; distributional effect depends on higher-income spending and use of revenue.

Counterargument and conditions. Regressivity requires comparing tax burden relative to income across households.

Application and real-world example. The World Bank describes Brazil’s Bolsa Família and associated services as an example of transfers and human-capital access; country poverty and Gini data can contextualise effects. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Economics guide, first assessment 2022, Unit 3 Topic 3.4; current syllabus scope and level boundaries.

Open source

World Bank. Poverty and Inequality Platform data and methodology.

Open source

World Bank Gini. Gini index definition and Lorenz curve relationship.

Open source

World Bank Brazil. Bolsa Família and service-delivery example.

Open source

Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; 42 questions cover SL/HL content and 8 are labelled HL. The student paper contains no answers or difficulty labels.